WRITTEN TESTIMONY OF THE ARDEN PETROLEUM COUNCIL

Submitted to the Senate Committee on Energy and Environment, 9 April 2025

The Council opposes the bill and asks the Committee to consider four matters of arithmetic and one of drafting.

1. THE ASSESSMENT BEARS NO STATED RELATION TO ANYTHING

The bill fixes $12,000 million. It does not say what that figure is derived from. It is not the damage on the Emergency Management Agency's assessments. It is not a proportion of in-state sales. The Committee has been given no derivation and the Council has been unable to construct one.

2. THE ANNUAL CHARGE IS TRIVIAL BY COMPARISON

Half of one per cent of in-state sales produces a figure the Committee can compute from the Energy Office series. Set beside the assessment it is negligible. If the purpose is to make sellers contribute to resilience, the annual charge does that; the assessment does something else.

3. THE REACH-BACK

The assessment is computed on sales made before the Act existed. Sellers priced those sales without the charge and cannot now recover it from the customers who bought the fuel.

4. THE COVERAGE TEST DOES NOT DO WHAT THE COMMITTEE THINKS

The test in subsection (k)(iii) is expressed as a proportion of the seller's own revenue. The Council's members range from companies with revenues in the hundreds of billions to companies with revenues near the threshold. A proportionate test does not treat them alike: the in-state amount it requires rises with the size of the seller. The Council does not ask the Committee to take its word for this and invites the Committee to work the test through on the disclosures.

5. DRAFTING

Subsection (k)(ii) fixes an annual threshold but does not say over what period it is measured. The Council's members do not know, from the text, whether a single year below the threshold takes a seller outside the definition.

6. THE INSTALMENT MECHANISM

The bill permits payment in up to five annual instalments and says nothing about interest, nor about what happens to a payer that ceases to meet the definition after the first instalment falls due. The Council's members cannot price either uncertainty. A member that elects five instalments and then falls outside the definition does not know whether the balance remains payable; a member that pays in full does not know whether it has subsidised one that did not.

7. THE ELIGIBILITY DATE AND THE MEASURING PERIOD

Liability is fixed by reference to the position at the end of 2025 while the sales on which the charge is computed close in June of that year. The Council can see no reason for the gap and has been given none. A member whose position changes in the intervening months is charged on sales made in a period during which it was not, on the bill's own test, a Producer.

8. PRACTICAL CONSEQUENCES THE COMMITTEE SHOULD WEIGH

Members plan supply into Arden on a rolling 13-month horizon. A charge of unquantifiable size attaching to sales already made is, for planning purposes, indistinguishable from a charge of unknown size attaching to future sales: both are provided for at the high end. The Council's members will provide for the maximum they can be assessed. Whether they continue to supply the Arden market at that provision is a commercial decision the Council does not purport to make for them.

9. WHAT THE COUNCIL DOES NOT SAY

The Council does not dispute the Agency's damage assessments, does not deny that the combustion of its members' products contributes to the atmospheric concentrations at issue, and does not contend that a State may never charge for adaptation. The Council's objections are to the size of this charge, to its reach into closed transactions, and to the drafting of the class on which it falls.

The Council reserves all legal contentions and does not by this submission concede the validity of any provision.